

Microsoft Corporation

Annual Report (Form 10-K)

Filed with the Securities and Exchange Commission

MICROSOFT CORPORATION
FORM 10-K -- ANNUAL REPORT
Fiscal Year Ended June 30, 2023

ITEM 6. SELECTED FINANCIAL DATA

(In millions, except per share amounts)

	2023	2022	2021	2020	2019
Revenue	\$211,915	\$198,270	\$168,088	\$143,015	\$125,843
Cost of revenue	65,863	62,650	52,232	46,078	42,910
Gross profit	146,052	135,620	115,856	96,937	82,933
Operating income	88,523	83,383	69,916	52,959	42,959
Net income	72,361	72,738	61,271	44,281	39,240
Diluted earnings per share	\$ 9.68	\$ 9.65	\$ 8.05	\$ 5.76	\$ 5.06
Total assets	\$411,976	\$364,840	\$333,779	\$301,311	\$286,556
Long-term debt	\$ 41,990	\$ 47,032	\$ 50,074	\$ 59,578	\$ 66,662

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS

OVERVIEW

Microsoft is a technology company whose mission is to empower every person and every organization on the planet to achieve more. We generate revenue by offering a wide range of cloud-based solutions, content, and other services to people and businesses; licensing and supporting an array of software products; and delivering relevant online advertising to a global audience.

Revenue increased \$13.6 billion or 7% driven by growth across each of our segments. Intelligent Cloud revenue increased driven by Azure and other cloud services. Productivity and Business Processes revenue increased driven by Office 365 Commercial. More Personal Computing revenue increased driven by search and news advertising.

SEGMENT RESULTS OF OPERATIONS

Productivity and Business Processes

Revenue increased \$3.5 billion or 9%.

- Office Commercial products and cloud services revenue increased 10%, driven by Office 365 Commercial revenue growth of 13%.
- Office Consumer products and cloud services revenue increased 2%.
- LinkedIn revenue increased 10%.
- Dynamics products and cloud services revenue increased 16%, driven by Dynamics 365 revenue growth of 24%.

Intelligent Cloud

Revenue increased \$7.0 billion or 11%.

- Server products and cloud services revenue increased 17%, driven by Azure and other cloud services revenue growth of 29%.
- Azure revenue growth was driven by Azure consumption-based services.

More Personal Computing

Revenue increased \$3.1 billion or 4%.

- Windows OEM revenue decreased 3%.
- Windows Commercial products and cloud services revenue increased 5%.
- Search and news advertising revenue excluding traffic acquisition costs increased 23%.
- Xbox content and services revenue decreased 1%.

- Surface revenue decreased 20%.
- Gaming revenue increased 1%.

OPERATING EXPENSES

Research and development expenses increased \$1.1 billion or 4% driven by investments in cloud engineering and LinkedIn. Sales and marketing expenses increased \$0.5 billion or 2%. General and administrative expenses increased \$0.2 billion or 3%.

LIQUIDITY AND CAPITAL RESOURCES

As of June 30, 2023, we had \$111.3 billion in cash, cash equivalents, and short-term investments. Cash from operations was \$87.6 billion, an increase of \$2.2 billion from the prior year.